

SWDY — MARKET DISSENT

DISSENT_AT_GAP: -35.4%

Central EGP 87.94 against a last known price of EGP 136.20 (2026-09-06). This document is the CASE for publishing a number that far below the market. It is not the authorisation to publish it [R-GAP-02 CLAUSE FOUR], and it makes no claim to an edge — only that the disagreement is real and survives our own audit.

MECHANISM

The whole gap is the reinvestment charge, and the June balance sheet measures it.

SWDY is spending heavily. FY2025 capex was EGP 13,112mn against depreciation and amortisation of EGP 3,009mn — 4.4x. The forward model carries PP&E up 178% to buy 40.9% real revenue growth, which takes asset turns from 7.82x to 6.45x, a capital intensity the company has never operated at.

A DCF charges that spending against the cash it returns. The market price does not appear to. The study's own expert panel splits on exactly this line and makes the mechanism visible from both sides:

expert	treatment of reinvestment	reads
earnings-power	capitalises earnings, charges NO reinvestment	154.41 — above the price
cash-based #1	charges it	85.56
cash-based #2	charges it	78.29

The lens that ignores the reinvestment charge lands above the market. The two that charge it land where we publish. That is the mechanism, stated as an arithmetic split rather than as an opinion.

The filings corroborate the charge rather than the story. Between 31-Dec-2025 and 30-Jun-2026 net debt rose EGP 8,069mn while the group earned EGP 10,647mn after tax and paid EGP 3,960mn of dividends — an implied free cash flow of **negative EGP 4,109mn in the half**. The model's FY2026E net debt of 28,039 lands within 2% of the June actual of 28,629. We are not forecasting a cash drain that the company is not already reporting.

The terminal is not where the gap is made: terminal ROIC 22.43% sits 7.09 percentage points ABOVE the terminal WACC of 15.34%. This terminal creates value. The gap is in the explicit window, where the spending happens.

REVERSE READ

What EGP 136.20 must believe, taking the study's own drivers one at a time and solving for the level that reaches the price:

driver moved alone	required to reach 136.20	reachable?
Segment margins	FY26E EBITDA margin 12.63% (adopted 10.34%)	YES
Uniform WACC	–189bp (terminal 15.34 → 13.45)	arguable
Terminal real growth	above the 4.5% economy cap — at the cap, 124.95	no
Beta	at beta 0.00 the value is 96.75	no
Capex	at ZERO capex the value is 115.10	no
NWC	6.53% of revenue — never observed	no
Tax	5.0%	no

Four of the seven cannot reach the price at any admissible value, and two of those cannot reach it at physically impossible values — zero capex and zero beta both leave the price above the model. The disagreement therefore reduces to **one driver**: the segment margin.

And that one is reachable. The market's implied 12.63% EBITDA margin is inside this company's own printed record: **13.17% in FY2023 and 13.62% in FY2024**, against 10.09% in FY2025 and 11.12% in H1-2026.

So the dispute is a single, honest question: does the FY2023-24 margin come back? The market says yes. We say no. That is a disagreement about the future, not a modelling artefact, and it is stated here in the one form that can be graded later.

WHY NOT CREDIBLE

We do not claim the market's belief is absurd. We claim it is not supported by what the company has filed since, and that the burden sits on the recovery.

1. **The margin fell as the capital base grew.** The FY2023-24 margin was earned on a smaller asset base. The forward case requires the old margin AND the new spending, which is the combination the filings have not yet shown.
2. **H1-2026 is the most recent evidence and it reads 11.12%**, not 12.63%. Our FY26E segment margin of 12.34% is already 29bp ABOVE the seasonal analogue of 12.05% derived from the company's own H1/H2 split. We are not modelling a collapse; we are modelling slightly better than the last comparable half.
3. **The spending has not stopped.** H1-2026 capex of 5,436 against H1-2025's 5,387 is +0.9% — flat, not falling. A price that implies the margin returns while the capital programme continues is asking for both at once.
4. **The cash statement does not corroborate the recovery.** Negative EGP 4,109mn of implied free cash flow in the half is the opposite of what a margin recovery of that size would produce.

WHAT WE CHECKED

The answer was put through an adversarial audit that hunted OUR defect first and priced every candidate it found, in both directions, by re-running the study's own engine one driver at a time. Twenty-three candidates were priced. The material ones:

candidate	direction	size EGP/share
D&A built off revenue, not the asset base	DOWN	−6.14
Terminal Kd 8.88% below the terminal risk-free of 10.50%	DOWN	−5.41 to −10.55
Tax 24.5% against a disclosed H1-26 rate of 30.85%	DOWN	−4.59 to −23.59
June balance sheet instead of December	DOWN	−3.53
Capex vs the volume it buys	UP	+4.31
Associates at carrying value	UP	+3.22
Net- rather than gross-debt WACC weights	UP	+4.24
Minorities at the FY25 profit share	UP	+2.55
Terminal reinvestment spread (the ARCC defect)	—	absent; +7.09pp

The corrections do not net upward.

stack	value	vs price
every UPWARD correction, none of the downward ones	110.88	−18.6%
every DOWNWARD correction	68.94	−49.4%
balanced — every correction with a mechanism in the filings	83.00	−39.1%

In the single most favourable reading available — taking every upward correction and none of the downward ones — the number rises 26% and the gap is **still −18.6%**. Roughly 0-5 percentage points of the 35.4 are ours. Thirty or more survive as genuine disagreement. The defensible central is EGP 83-90 and the study publishes at 87.94, inside that range.

Two hypotheses we expected to close the gap did not. Correcting depreciation to run off the asset base moves SWDY **DOWN** 6.14, not up, because terminal maintenance capex is pinned to D&A. Finance costs do not enter a FCFF DCF at all. Both were checked because they were the most likely way our own number could be too low on a currency that halved, and neither was.

Recorded against ourselves, three defects found in the same audit. None moves the central; all three are disclosed here rather than left to be found:

- etr_h1_25 in study_numbers.json carries **H1-2026's** rate and PBT under an H1-2025 key. Nothing reads it, so the answer does not move — but it is the one figure that

makes the tax judgement testable by the study's own like-for-like method, and on the true H1-2025 figure of 19.39% that method gives 34.03%, not the adopted 24.5%. **This runs against us.**

- `cost_of_capital_record.rf_terminal_note` is stale and now asserts the opposite of the truth: it says the house derives 12.50% and the study sits 200bp below, where the live path derives 10.50% and the study conforms.
- `rebuild_ledger.json` names its own black hole — "UNRECORDED: the levers between the beta re-derivation and 13-09-2026", 43.51 → 87.76, a +102% move with no lever-by-lever record.

Stated because it bears on how much of this is new analysis: the single largest driver of the move from the prior published 69.73 to 87.94 was a HOUSE-WIDE change — the real-rate convention went 0.055 → 0.035 on 10-Sep-2026 in commit 67b9b9652 — worth +21.33 per share on this name. That is a change to the house path, not a discovery about SWDY.

No outside house could be scored. The only external input in the repository is EFG Hermes' Egyptian terminal cost of capital (14.2 / 14.8 / 15.1%), against which the study's 15.34% is the conservative end. There is no outside-house SWDY forecast here, so the cross-check that ARCC got is unavailable, and none was imported that could not be scored.

FALSIFIER

This dissent is wrong if SWDY's segment EBITDA margin returns to 12.6% or above on a full financial year while the capital programme continues at its current rate.

That is one number, from the company's own reporting, on a date that is already fixed. Specifically:

- **FY2026 full-year segment EBITDA margin at or above 12.63%** falsifies the central directly — that is the level the reverse read says the price requires.
- **H2-2026 capex falling below roughly EGP 3,000mn** (against H1-2026's 5,436) would mean the programme has ended and the reinvestment charge should not be carried forward at the modelled rate. Either alone moves the answer materially toward the price; both together close most of the gap.

Two further conditions, narrower but faster:

- If the FY2026 effective tax rate prints at or below 24.5%, the tax judgement we flagged against ourselves is vindicated and the downward correction of −4.59 to −23.59 falls away.
- If FY2026 free cash flow turns positive without a fall in capex, the mechanism in this document is wrong at its root.

Nothing here is graded on the price moving. A price that rises toward 87.94 proves nothing and neither does one that falls to it; the ledger grades the forecast, not the disagreement [R-LENS-02].

Built from `engine/swdy\_study/study\_numbers.json`, `compute.py`, `GAP\_REVIEW\_13-09-2026.md`, `rebuild\_ledger.json`, and the FY2025 and H1-2026 filings. Every figure above is read live from the record rather than restated from memory [R-DOC-02]; re-derive with

``python3 scripts/check_valuation_gap.py` and `python3 scripts/check_publish_block.py`
SWDY`.`